Bihari Vajpayee (for sixteen days in 1996), H.D. Deve Gowda (1996–97) and I.K. Gujral (1997–98) all had to contend with coalitions and factionalism. Economically, the results of the 1991 liberalization reforms took some years to reveal themselves. High rates of economic growth were not immediately obvious. The country confronted continuing insurgencies or separatist sentiments in its north, south, east, and west. Amid this difficult backdrop, India managed to break many long-standing taboos in its external relations.

This period saw the rise of economic diplomacy as an essential element of India's external engagement after decades of relative isolationism. A realization that India's economic future would be intertwined with Asia's led to the initiation of the 'Look East' policy. In the process, India initiated official relations with the Association of South East Asian Nations (ASEAN) in 1992. That same year, India normalized diplomatic relations with Israel. There was also some tentative outreach to the United States, including on defence ties. And in the early 1990s, a series of border management agreements were signed between India and China added new dimensions to that relationship. Finally, in 1995, the Rao government decided to approve a nuclear test, although this was not carried out as a result of economic conditions, US warnings, and forthcoming elections.

Despite these considerable changes, India's scholars, analysts and commentators of international affairs were often slow to appreciate new developments. For example, there was significant ideological resistance against exploring opportunities for closer relations with other power centres, most notably the United States. Similarly, many Indians initially had deep moral and practical reservations about the necessity and wisdom of pursuing a nuclear deterrent, even as Pakistan's programme advanced and international non-proliferation efforts narrowed India's options. A political obsession with Pakistan often came at the expense of relations with other smaller neighbours and an appreciation of the growing challenge posed by China. And the language of India's international relations remained constrained by outdated notions of Non-Alignment and developing world solidarity. As the future National Security Adviser